

At the end of 2004, we had finally recovered from what looked like a disaster of a year, and we just had a few months of positive performance. This warm and fuzzy feeling won't last for long. In the very first week of 2005, we take a hit. Six per cent lost in a single week can ruin anyone's weekend. This will be a bumpy ride, that's for sure. After that disastrous week, we spend a few months in the -6% to -2% range, in fast and choppy moves. Then, in April, just when we think we have had a really bad year, the true trouble starts. We start losing, and we start losing fast. Did you think this would be all roses and sunshine? Welcome to finance.

After a fast drop, we are down 12% on the year, and after a brief pause we free-fall down to nearly -20% (Figure 6.20). That's a fifth of the assets. Congratulations, you just lost over US\$3 million! How does that feel? It's half-way through our fourth year of operations, and the first meaningful loss just reared its ugly head. It may very well be mostly other people's money, but that first time you find yourself responsible for losing millions of dollars, it will hit you hard. What could you do with US\$3 million? That money you just burnt could have been life-changing for almost anyone on the planet, and you've just blown it on your irresponsible speculation. I hope you didn't plan on sleeping much during the summer of 2005.

In late October we are no better off and you probably dread the sound of the phone ringing. Nobody likes to talk to investors after having just lost them substantial amounts of money, but it needs to be done nonetheless. From the darkest hour of the autumn, we finally start to recover somewhat. Starting off at nearly -20% , we see some gains for the final

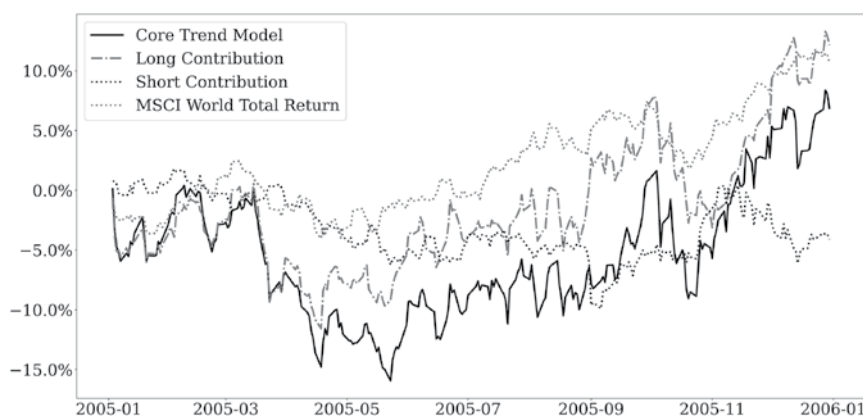


FIGURE 6.20 Strategy performance 2005.